

START-UP LAYOFFS

INSPECTION TIME

Investors in start-ups are making governance a top priority to avoid unwarranted situations

BY BINU PAUL

► **THE RECENT SPATE** of layoffs at well-funded start-ups, such as Swiggy and ShareChat, coupled with the revelation of alleged financial improprieties at GoMechanic has prompted investors across the ecosystem to re-examine their stance on governance and operational ethics in their portfolio.

Sequoia, which had to do reactive damage control at three of its portfolio firms—BharatPe, Zilingo and GoMechanic—was reportedly mulling special audits on its investments in South-East Asia, but the VC firm has denied it. Aggressive investors, wary of potential oversights during the frenzy of 2021, are now making governance a top priority along with the renewed focus on profits over growth.

Talking to BT, multiple fund managers say they are setting up stringent governance frame-

works—similar to those in listed entities—beyond just legal, financial and technology due diligences. Investors are establishing strict oversight mechanisms including mandatory quarterly reporting of financial disclosures, periodic internal control and audit testing to avoid unwarranted situations.

As investors move to make internal controls and processes stronger, they plan to implement maker-checker processes and segregation of duties, besides establishing mandatory policies on conflict of interest, whistleblowing and harassment. The atmosphere is such that one investor said he wouldn't be surprised if forensic audits become a norm in the coming days to establish the credibility of financial data in start-ups. **BT**

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COVID-19 VACCINE

Gasping Already

There is no market for Bharat Biotech's nasal vaccine, a late entrant

BY NEETU CHANDRA SHARMA

► **BHARAT BIOTECH LAUNCHED** its Covid-19 nasal vaccine on January 26, 2023. The vaccine is expected to face major hurdles in finding a market in India as well as globally.

Dubbed as a game changer in preventing the spread of coronavirus, Bharat Biotech's nasal vaccine, called iNCOVACC is the first intranasal vaccine in the world to have received approval as both a primary vaccine for Covid-19 and a booster.